Session 17: Leases II: Lessee and Lessor Accounting Mechanics Under IFRS16

By the end of this session you must know which leases are exempt from capitalisation, how the lease term is determined, how the right-of-use asset and lease liability are measured initially and subsequently, how leases are presented across the three financial statements, how lessor accounting still splits into operating and finance leases, and the general direction of IFRS16's effects on financial statements and key ratios.

Plan

1. Recognition: Which Leases Get Capitalised?
2. Determining the Lease Term
3. Initial Measurement: ROU Asset and Lease Liability
4. Subsequent Measurement: ROU Asset and Lease Liability
5. Presentation Across the Three Statements
6. Lease Accounting by Lessors
7. Worked Example
8. Financial Statement and Ratio Effects
9. Common Mistakes and Exam Traps
10. Must Know Absolutely

1. Recognition: Which Leases Get Capitalised?

General rule: under IFRS16, a lessee capitalises essentially all leases. Recognising both a right-of-use (ROU) asset and a lease liability on the balance sheet.

Recognition exemptions (two, and only two): short-term leases (lease term of 12 months or less) and low-value leases (the slides give €5,000 as an example threshold for what counts as low value). For both exempt categories, no asset or liability is recognised on the balance sheet. Instead, lease payments are simply expensed on a straight-line basis over the lease term. The old operating-lease treatment survives only for these two narrow cases.

2. Determining the Lease Term

- Because the new rules capitalise (almost) every lease, they create an incentive for companies to negotiate artificially short lease terms with frequent renewal options, in order to dodge capitalisation or minimise the measured liability.
- IFRS16 contains anti-avoidance provisions to close this loophole: the lease term must include
  - periods covered by an option to extend the lease, if the lessee is reasonably certain to exercise that option, and
  - periods covered by an option to terminate the lease early, if the lessee is reasonably certain *not* to exercise that option.
- In both cases, the standard looks through to the substance of what the lessee actually expects to do, not merely the contract's minimum non-cancellable term.

3. Initial Measurement: ROU Asset and Lease Liability

Right-of-use asset, initial measurement: measured at cost, composed of (a) the amount of the initial lease liability, (b) any lease payments made at or before commencement, (c) any initial direct costs incurred by the lessee, and (d) the estimated costs of dismantling, removing or restoring the underlying asset to the condition required at the end of the lease.

Component (d) of the ROU asset's initial cost mirrors IAS16's "estimated dismantling/restoration cost" element of PP&E cost (Session 9). The same underlying logic (a future obligation baked into an asset's initial cost, offset by a provision) applies here.

Lease liability, initial measurement: measured at the present value of all lease payments due after the commencement date, composed of (a) fixed payments, (b) variable payments that depend on an index or rate, (c) amounts expected to be payable under residual value guarantees, (d) the exercise price of a purchase option, if the lessee is reasonably certain to exercise it, and (e) payments or penalties for terminating the lease, if applicable (i.e. consistent with the lease-term determination in Section 2).

Notice the structural link between the two measurements: the ROU asset's initial cost is built, in part, directly from the lease liability just computed. This is why component (a) of the ROU asset is "the amount of the initial lease liability," not a separately

estimated fair value.

4. Subsequent Measurement: ROU Asset and Lease Liability

ROU asset, subsequent measurement: carried at cost, depreciated according to IAS16 (Session 9-10), typically on a straight-line basis, over the shorter of the asset's useful life and the lease term, and subject to impairment testing under IAS36 (Session 12).

Lease liability, subsequent measurement: each lease payment is split between an interest expense component (which increases the outstanding liability before the payment is applied) and a principal-reduction component (which reduces the outstanding liability). IFRS16 requires the interest to be calculated so as to produce a constant periodic rate of interest on the remaining balance of the lease liability, using the same discount rate that was used to measure the liability initially.

This "constant periodic rate on the remaining balance" mechanic is exactly the effective interest method already introduced for financial liabilities in Session 6. Recognise it as the same underlying technique applied to a different type of liability, rather than a new formula to memorise separately.

5. Presentation Across the Three Statements

Must know (presentation requirements by statement):
• **Balance sheet:** ROU assets and lease liabilities must either be presented as separate line items from other assets/liabilities, or separately disclosed in the notes (identifying which line items they are included within)
• **Income statement:** depreciation expense (on the ROU asset) and interest expense (on the lease liability) **cannot** be combined into a single line item. They must remain separately identifiable
• **Cash flow statement:** the principal portion of each lease payment is classified within **financing** activities. The interest portion is classified as either operating or financing cash flows, consistent with the entity's general accounting policy for presenting interest payments

6. Lease Accounting by Lessors

Lessor accounting is substantially unchanged by IFRS16: lessors continue to classify every lease using the same dual-model principles inherited from IAS17 (Session 16), distinguishing operating leases from finance leases.

Must know (lessor accounting by lease type):
• **Operating lease (lessor):** the lessor continues to recognise the underlying asset on its own balance sheet, and recognises lease income on a straight-line basis
• **Finance lease (lessor):** the lessor derecognises the underlying asset and instead recognises a lease receivable, equal to its net investment in the lease: (a) the lease payments receivable, plus (b) any unguaranteed residual value accruing to the lessor. The lessor then recognises interest income (which increases the receivable) and reduces the receivable as payments are collected, mirroring the lessee's liability mechanics in Section 4

7. Worked Example

Building lease (setup): on 1 January, a company enters a 5-year lease of a building from a property developer. Lease payments are €40,000 per annum, payable in advance on 1 January each year. The interest rate implicit in the lease is 8% per annum.

Applying the method (lessee side): five annual payments of €40,000, the first paid immediately at commencement (in advance), the remaining four payments due at the start of years 2-5. The lease liability at initial measurement is the present value of the payments due *after* the commencement date. I.e. the four payments at years 1-4, discounted at 8% (the first payment, made at commencement, is not part of the liability since it is paid immediately, but it does form part of the ROU asset's cost per Section 3's item (b)). The ROU asset's initial cost = initial lease liability + the payment made at commencement (€40,000). Subsequently, the liability accretes at 8% each period (interest expense) and is reduced by each payment as it falls due. The ROU asset is depreciated straight-line over the 5-year lease term (since no purchase option or asset-useful-life information suggests otherwise).

8. Financial Statement and Ratio Effects

Moving leases onto the balance sheet mechanically affects both the balance sheet and the income statement compared to the old off-balance-sheet operating-lease treatment:

Must know (direction of the accounting effects, capitalisation vs. the old operating-lease treatment):
• **Balance sheet:** both assets (new ROU asset) and liabilities (new lease liability) increase
• **Income statement:** EBITDA increases (a single "rent expense" line, previously an operating expense above EBITDA, is replaced by depreciation and interest, both below EBITDA). Profit before tax is affected by the split between depreciation and financing costs, and typically follows a front-loaded pattern (higher total expense in early years, since interest is calculated on a larger outstanding balance early on) compared to the straight-line rent expense under the old rules
• **Cash flow statement:** operating cash flow improves (lease payments move out of operating activities), while financing cash outflows increase (principal repayments), with total cash flow unchanged (only its classification across the statement shifts)

The lecture slides list six ratios whose direction of effect is meant to be worked out from the above balance-sheet/income-statement changes, without stating the answers directly: asset turnover, current ratio, return on assets (ROA), return on equity (ROE), leverage, and interest coverage.

9. Common Mistakes and Exam Traps

- Applying the short-term/low-value exemptions too broadly. They apply only to leases with a term of 12 months or less, or to genuinely low-value underlying assets (the €5,000-type threshold), not to leases that are merely "small" in the lessee's overall context.
- Ignoring reasonably-certain renewal or non-termination options when determining the lease term. The anti-avoidance rule specifically forces these into the lease term to prevent gaming via artificially short contracts.
- Combining depreciation and interest expense into one income-statement line. IFRS16 explicitly forbids this. They must stay separately identifiable.
- Classifying the interest portion of a lease payment as automatically an operating cash flow. It follows the entity's general accounting policy on interest presentation (which could place it in financing activities instead). Only the principal portion has a fixed classification (financing).
- Assuming lessor accounting also moved to a single model. It did not. Lessors still classify leases as operating or finance using the same dual-model logic as before IFRS16.
- Using a different discount rate for computing the interest expense in subsequent periods than the one used to initially measure the lease liability. IFRS16 requires the same rate throughout, applied to the remaining balance (effective interest method).

10. Must Know Absolutely

Must know:
• Two recognition exemptions only: short-term (≤12 months) and low-value leases. Expensed straight-line, no B/S recognition
• Lease term includes reasonably-certain extension periods and reasonably-certain non-exercised early-termination periods (anti-avoidance)
• ROU asset initial cost = initial lease liability + payments at/before commencement + initial direct costs + estimated restoration costs
• Lease liability initial measurement = PV of fixed payments + index/rate-based variable payments + expected residual value guarantee payments + purchase option price (if likely exercised) + termination penalties (if applicable)
• Subsequent: ROU asset depreciated (IAS16) + impairment tested (IAS36). Lease liability uses effective-interest-style constant periodic rate, same rate as initial measurement
• Presentation: ROU/liability separate on B/S (or disclosed). Depreciation and interest never combined on P&L. Principal → financing CF, interest → operating or financing per policy
• Lessor accounting unchanged: operating lease (asset stays on lessor's B/S, straight-line income) vs. finance lease (asset derecognised, net investment receivable recognised, interest income accrues)